

EXECUTIVE SUMMARY

A. Introduction

Creation and Mandate

Under Executive Order (EO) No. 710 dated July 27, 1981, the existing Ministries of Public Works and Public Highways were abolished, and thereby, created the Ministry of Public Works and Highways for a more effective and sustained implementation of infrastructure projects. By virtue of EO No. 124 dated January 30, 1987, the agency was renamed as the Department of Public Works and Highways (DPWH).

DPWH functions as the engineering and construction arm of the Government tasked to continuously develop its technology for the purpose of ensuring the safety of all infrastructure facilities and securing for all public works and highways the highest efficiency and quality in construction. It is currently responsible for the planning, design, construction and maintenance of infrastructure, especially the national highways, flood control and water resources development system, and other public works in accordance with national development objectives.

Organizational Set-up and Personnel Complement

Under the restructured/updated organizational set-up, DPWH is composed of nine (9) Service Offices, six (6) Bureaus, five (5) Clusters under the Unified Project Management Offices (UPMO), one (1) Regional Project Management Office for Bangsamoro Autonomous Region in Muslim Mindanao (RMPO-BARMM), 16 Regional Offices (RO), and 189 District Engineering Offices (DEO). It is presently headed by Secretary Manuel M. Bonoan, who is assisted by nine (9) Undersecretaries and six (6) Assistant Secretaries. The Department's total personnel complement as at December 31, 2024 is 77,599, distributed as follows:

Category	Regular	Co-Terminus with the Build, Build, Build Program	Co- Terminus with the Incumbent	Contractual/ Charged to Maintenance Fund	Contract of Service/ Job-Order	Total
Department Proper (OSEC)	91	0	14	26	75	206
Pooled Field Positions	365	0	1	0	0	366
Services	671	0	99	0	456	1,226
Bureaus	528	0	57	0	476	1,061
UPMO	647	0	1	0	694	1,342
Sub-total	2,302	0	172	26	1,701	4,201
Field Office (Class A Regions)	8,444	1,040	584	0	31,185	41,253
Field Office (Class B Regions)	6,690	823	392	0	24,240	32,145
Total	17,436	1,863	1,148	26	57,126	77,599

B. Financial Highlights

In Calendar Year (CY) 2024, DPWH has total appropriations of P1,408,477,989,742.76 consisting of the current year budget/appropriation and prior year appropriation in the total amount of P1,318,497,926,082.00 and P89,980,063,660.76, respectively. During the year, DPWH received total allotments of P1,404,866,246,294.76, of which the amount of P1,237,076,083,045.92 or 88.06 percent was obligated leaving an unobligated allotment of P167,790,163,248.84 or 11.94 percent. Details are shown hereunder:

Source of Funds	Allotment	Obligation Incurred	Disbursement	Unobligated Allotment	Undisbursed Obligation
	(a)	(b)	(c)	(d) = (a) – (b)	(e) = (b) – (c)
	Amount (In PhP)				
A. Current Year					
1. Regular (Agency Specific Budget)	1,057,650,278,552.00	1,013,744,065,001.88	670,936,619,433.26	43,906,213,550.12	342,807,445,568.62
a. PS	12,669,585,712.41	12,630,521,185.07	12,085,816,297.64	39,064,527.34	544,704,887.43
b. MOOE	6,390,552,287.59	6,011,213,187.25	4,926,847,252.24	379,339,100.34	1,084,365,935.01
c. CO	1,038,590,140,552.00	995,102,330,629.56	653,923,955,883.38	43,487,809,922.44	341,178,374,746.18
2. Automatic Appropriations	1,447,824,963.00	1,378,422,318.94	1,326,689,934.43	69,402,644.06	51,732,384.51
a. RLIP	1,145,011,079.00	1,121,692,079.74	1,081,658,240.39	23,318,999.26	40,033,839.35
b. CDT	236,066,009.00	236,066,005.11	236,066,005.11	3.89	0.00
c. MOOE	37,527,000.00	20,664,234.09	8,965,688.93	16,862,765.91	11,698,545.16
d. Grant	29,220,875.00	0.00	0.00	29,220,875.00	0.00
3. Special Purpose Fund (SPF)	11,046,113,376.00	10,248,146,016.13	4,553,187,607.87	797,967,359.87	5,694,958,408.26
a. MPBF	288,859,735.00	286,194,813.55	272,899,679.14	2,664,921.45	13,295,134.41
b. PGF	127,734,829.00	127,730,652.90	126,925,382.19	4,176.10	805,270.71
c. QRF/NDRRMF	10,629,518,812.00	9,834,220,549.68	4,153,362,546.54	795,298,262.32	5,680,858,003.14
4. Unprogrammed Fund	244,741,965,743.00	129,000,187,470.75	28,352,716,225.88	115,741,778,272.25	100,647,471,244.87
a. PS	743,591,795.00	735,240,052.21	688,745,774.70	8,351,742.79	46,494,277.51
b. MOOE	14,250,000,000.00	9,574,728,707.76	8,322,482,120.30	4,675,271,292.24	1,252,246,587.46
c. CO	229,748,373,948.00	118,690,218,710.78	19,341,488,330.88	111,058,155,237.22	99,348,730,379.90
Sub-total, Current Year	1,314,886,182,634.00	1,154,370,820,807.70	705,169,213,201.44	160,515,361,826.30	449,201,607,606.26
B. Prior Years					
1. Extended Allotments	82,491,607,256.76	75,504,687,723.14	44,455,108,676.52	6,986,919,533.62	31,049,579,046.62
a. MOOE	324,872,522.39	279,345,075.02	202,278,352.20	45,527,447.37	77,066,722.82
b. CO	38,177,117,900.22	33,717,367,399.00	18,355,644,429.61	4,459,750,501.22	15,361,722,969.39
c. NDRRMF	4,665,605,117.31	4,527,650,582.90	2,293,080,854.69	137,954,534.41	2,234,569,728.21
d. Others	39,324,011,716.84	36,980,324,666.22	23,604,105,040.02	2,343,687,050.62	13,376,219,626.20
2. Continuing Appropriations	7,488,456,404.00	7,200,574,515.08	669,838,642.58	287,881,888.92	6,530,735,872.50
a. MOOE	0.00	0.00	0.00	0.00	0.00
b. CO	6,027,580,930.00	5,769,836,924.38	165,717,587.97	257,744,005.62	5,604,119,336.41
c. SPF – NDRRMF	1,460,875,474.00	1,430,737,590.70	504,121,054.61	30,137,883.30	926,616,536.09
Sub-total, Prior Years	89,980,063,660.76	82,705,262,238.22	45,124,947,319.10	7,274,801,422.54	37,580,314,919.12
Total	1,404,866,246,294.76	1,237,076,083,045.92	750,294,160,520.54	167,790,163,248.84	486,781,922,525.38
Percentage over Allotments		88.06%		11.94%	
Percentage over Obligations			60.65%		39.35%

PS – Personnel Services

MOOE – Maintenance and Other Operating Expenses

CO – Capital Outlay

RLIP – Retirement and Life Insurance Premium

CDT – Custom Duties and Taxes

MPBF – Miscellaneous Personnel Benefits Fund

PGF – Pension and Gratuity Fund

QRF – Quick Response Fund

NDRRMF – National Disaster Risk Reduction and Management Fund

DPWH's statements of financial position and performance for CY 2024, with comparative restated figures for CY 2023, are summarized below:

Particulars	CY 2024	CY 2023 (Restated)	Increase/ (Decrease)	Percentage (%)
	Amount (In PhP)			
Financial Position				
Assets	4,180,115,989,321.57	3,567,009,072,479.61	613,106,916,841.96	17.19
Liabilities	192,658,874,989.64	142,159,113,776.94	50,499,761,212.70	35.52
Net Assets/Equity	3,987,457,114,331.93	3,424,849,958,702.67	562,607,155,629.26	16.43
Financial Performance				
Revenue	2,422,736,285.90	1,914,163,452.19	508,572,833.71	26.57
Current Operating Expenses	167,249,614,726.99	142,879,622,111.21	24,369,992,615.78	17.06
Surplus (Deficit) from Current Operations	(164,826,878,441.09)	(140,965,458,659.02)	(23,861,419,782.07)	(16.93)
Net Financial Assistance/Subsidy	1,044,745,323,470.07	912,887,927,302.39	131,857,396,167.68	14.44
Miscellaneous Income	203,408,219.79	299,728,819.86	(96,320,600.07)	(32.14)
Gains	383,819,349.01	343,666,223.71	40,153,125.30	11.68
Losses	534,673,887.78	255,964,298.96	278,709,588.82	108.89
Surplus/(Deficit) for the Period	879,970,998,710.01	772,309,899,387.98	107,661,099,322.03	13.94

The significant increase in Losses for CY 2024 was attributed primarily on Losses on Foreign Exchange (FOREX) amounting to P278,709,588.82 which resulted from the revaluation of foreign denominated assets and liabilities including actual gain/loss incurred in the conversion of foreign currency to local currency at the balance sheet date. The remaining balances pertained to the losses on sale of property, plant and equipment, unserviceable properties, and other loss of assets.

C. Operational Highlights

DPWH's reported targets and actual accomplishments measured in terms of its organizational outcomes/performance indicators are as follows:

Performance Indicator	Physical Target	Physical Accomplishments			Variance
		Completed	Ongoing	Total	
Ensure Safe and Reliable National Road System					
Asset Preservation Program					
1. Length (km) of Maintained Roads	957.12	884.03	562.75	1446.78	489.66
2. Length (km) of Rehabilitated/Reconstructed/Upgraded Roads	638.97	161.53	174.35	335.88	(303.09)
3. % of Projects Completed in accordance with Plans and Specifications	100.00	91.75	0.00	91.75	(8.25)
Network Development Program					
1. Length (km) of Newly Constructed Roads	577.33	83.93	149.23	233.16	(344.17)
2. Length (km) of Widened Roads	517.83	92.96	98.83	191.79	(326.04)
3. % of Projects Completed in accordance with Plans and Specifications	100.00	90.00	0.00	90.00	(10.00)

Performance Indicator	Physical Target	Physical Accomplishments			Variance
		Completed	Ongoing	Total	
Bridge Program					
1. Total Length (lm) of New and Replacement Constructed Bridges	12,167.06	1,287.46	2,535.25	3,822.71	(8,344.35)
2. No. of Maintained and Rehabilitated Bridges	420	250	207	457	37
3. % of Projects Completed in accordance with Plans and Specifications	100.00	90.00	0.00	90.00	(10.00)
Protect Lives and Properties Against Major Floods					
Flood Management Program					
1. No. of Constructed Flood Mitigation Structures and Drainage Systems	1,200	600	1,378	1,978	778
2. No. of Constructed/Rehabilitated Flood Mitigation Structures with Major River Basins and Principal Rivers	772	357	744	1,101	329
3. % of Projects Completed in accordance with Plans and Specifications	100.00	97.00	0.00	97.00	(3.00)
Local Program					
1. No. of Projects (School Buildings, Multi-purpose Buildings, Health Facilities, Water Supply Systems, Farm-to-Market Roads, etc)	216	35	262	297	81
2. % of Projects Completed in accordance with Plans and Specifications	100.00	91.00	0.00	91.00	(9.00)
Convergence and Special Support Program					
1. % of Projects Completed and Accepted	100.00	82.00	0.00	82.00	(18.00)
2. Length of Access Roads Leading to Airports	14.86	2.41	4.79	7.2	(7.66)
3. Length of Access Roads Leading to Seaports	24.25	3.73	3.46	7.19	(17.06)
4. Length of Access Roads Leading to Tourist	196.5	106.57	86.63	193.2	(3.3)
5. Length of Access Roads Leading to Industries	151.56	77.02	0.3	77.32	(74.24)
6. Various Infrastructure in Support to National Roads (km) roads (km)	6.34	0.31	0.08	0.39	(5.95)
7. Various Other infrastructures (No. of Units)	63	33	88	121	58
8. Length of access roads leading to Railway Stations (km)	0.72	0.41	0	0.41	(0.31)
Sustainable Infrastructure Projects Alleviating Gaps					
1. Number of Projects (multipurpose buildings, water supply system, access roads/bridges, coastal roads, etc.)	737	668	1,941	2,609	1,872

The negative variances as shown in the preceding table indicate that the physical targeted performance indicators/organizational outcomes were not fully attained due to the following reasons:

1. Non-implementation of planned programs and projects, and/or delays in the implementation and completion of projects within the specific contract time due to problems and unavoidable circumstances encountered during the construction of the projects such as unfavorable site conditions caused by adverse weather conditions, and relocation of public utilities and communication facilities;

2. Delays in the release of approved sub-allotment advices for unprogrammed funds to various DPWH ROs and DEOs leaving insufficient time to process and use the funds within the fiscal year;
3. Delays in the conduct, commencement and/or completion of feasibility studies and detailed engineering designs;
4. Delays in internal processes such as: approval of variation orders and time suspension/extension; procurement activities, including failed biddings and procedural inefficiencies;
5. Delays/Non-implementation of planned programs and projects;
6. Prolonged issuance of necessary permits from regulatory agencies (e.g. Department of Environment and Natural Resources), including permit-to-enter requirements;
7. Longer procurement timeline due to unsuccessful bidding, and other issues encountered in the procurement; and
8. Problems encountered in the acquisition of Road Right-of-Way (RROW), including legal and community-related delays

D. Scope and Objectives of Audit

The audit covered the accounts and operations of DPWH Central Office, ROs and DEOs for CY 2024. The audit was conducted to: (a) verify the level of assurance that may be placed on Management's assertions on the financial statements; (b) determine the propriety of transactions, as well as the extent of compliance with pertinent laws, rules and regulations; (c) recommend agency improvement opportunities; and (d) determine the extent of implementation of prior years' audit recommendations.

E. Independent Auditor's Report

A qualified opinion was rendered on the fairness of presentation of the financial statements of DPWH as at December 31, 2024 due to aggregate uncorrected misstatements of P17,673,264,666.82 as presented in Part I – Independent Auditor's Report and discussed in Part II – Observations and Recommendations of this Report.

F. Summary of Other Significant Observations and Recommendations

Hereunder are the other significant audit observations noted during the year and the corresponding recommendations, which are discussed in Part II of this Report:

1. The DPWH was able to obligate P1,237,076,083,045.92, or 88.06 percent, of the total allotments of P1,404,866,246,294.76 received in CY 2024, leaving an unobligated or unutilized balance of P167,790,163,248.84 or 11.94 percent. Of the total obligated amount, only P750,294,160,520.54, or 60.65 percent, was disbursed, leaving an undisbursed balance of P486,781,922,525.38, or 39.35 percent, as at year-end. Thus, utilization of DPWH's budget was not fully maximized in view of the delays, suspensions and non-implementation of projects, which resulted in the expiration of the validity of corresponding unutilized allotments and programmed funds and fiscal inefficiencies and hampering public service delivery, which hinder economic growth and development. **(Observation No. 8)**

We reiterated our previous year's recommendations that the Management of DPWH Central Office (CO) and Regional Offices (RO): a) conduct proper planning, and adopt adequate procedures and strategies to implement targeted programs/projects responsive to actual conditions and factors encountered by the Department; b) facilitate the conduct of procurement activities, processes and evaluation, and expedite the implementation and completion of projects; and c) require the contractors and consultants concerned to timely submit their claims for progress and final billings duly supported with complete documentary requirements.

We further recommended that the Management of DPWH CO, ROs and DEOs: a) institutionalize regular financial performance monitoring through monthly or quarterly reviews, leveraging digital tools and platforms particularly the Unified Reporting System to enable timely, data-driven identification of underperforming programs and implementation of corrective actions; b) establish clear timelines and accountability mechanisms for the release of sub-allotments to ensure the prompt mobilization of funds and the timely initiation of procurement and implementation activities; and c) strengthen coordination mechanisms with relevant agencies such as Department of Environment and Natural Resources and local government units to expedite permitting and Road Right-of-Way acquisition, and incorporate risk mitigation measures in project design for site-specific challenges.

2. Out of the total notices of cash and transfers of allocations of P1,529,201,455,146.12 received by different Offices in CY 2024, P1,525,489,618,918.42 or 99.76 percent was utilized, while the remaining P3,711,836,227.70 representing 0.24 percent was not utilized within the validity period, thus, reverted to the Bureau of the Treasury. **(Observation No. 9)**

We recommended and Management of NCR RO, two DEOs in CAR, RO and three DEOs in Region III and RO and six DEOs in Region V, and five DEOs in Region XII agreed to: a) consider using historical records and actual data for past experiences for relevant and efficient planning and programming of cash requirements for a certain period essential in the preparation of Monthly Disbursement Programs as bases for the release of Notices of Cash Allocation; and

b) adopt strategies that will fast-track the procurement evaluation procedures, activities, and processes to implement and complete the projects on time and within the schedule to maximize the utilization of cash allocations and avoid reversion thereof to the Bureau of the Treasury.

3. Advances to Contractors amounting to P1,505,405,378.41 remained unrecouped from contractors and consultants despite project completion or termination, or awaiting contract termination contrary to item 4.3, Annex “E” of the Revised Implementing Rules and Regulations of Republic Act No. 9184, which highlights challenges in financial recovery and project closure, underscoring the need for timely financial reconciliation to ensure effective fund management, accurate reporting and accountability in the use of public resources. (**Observation No. 10**)

We recommended and Management of DPWH CO, RO and 5 DEOs in NCR, CAR RO, RO and 2 DEOs in Region III, RO and 1 DEO in IV-B, 2 DEOs in Region V, RO and 2 DEO in Region VII, 4 DEOs in Region VIII, and RO and 1 DEOs in Region IX and 2 DEO in Region X, agreed to: a) direct the Implementing Offices (IOs) concerned to: i) require the contractors/consultants concerned whose projects were already completed to immediately request for the conduct of final completion inspection, provided that rectifications work have been performed together with complete documentary requirements, and/or submit their final claim/billing. Otherwise, initiate appropriate measure for contractor’s inability to comply with its contractual obligation as per applicable laws, rules and regulations; and ii) submit the approved final Statement of Works Accomplished of the projects, in lieu of the final claim/billing, to the Accounting Division in order to recognize the amount of payables to the contractors/consultants, as well as, to record the recoupment of advances; b) the Finance Service and IOs to implement a centralized tracking system to monitor the status of advances and ensure timely deductions from contractors’ progress billings; c) the Finance Service, IOs and other relevant units to foster better communication and collaboration between and among them to expedite the processing of final claims and the issuance of Certificates of Completion; d) the Legal Service, Accounting Division, IOs and Bids and Awards Committee (BAC) to establish clear consequences for officials and contractors who fail to adhere to the prescribed timelines and procedures for advance recovery and project closure, as stipulated in Department Orders and relevant regulations; and e) the Legal Service, Finance Service, IOs, BAC and other relevant units to periodically assess existing guidelines and procedures to identify areas for improvement and ensure they remain aligned with current legal frameworks and operational realities.

We also recommended and Management of DPWH RO III agreed to exert extra efforts to locate the pertinent documents and establish the correctness and accuracy of the long outstanding balances, and issue demand letters requiring the contractors to return the unrecouped advances.

4. The DPWH was unable to efficiently implement 2,596 locally funded projects with an aggregate cost of P138,227,528,871.99 due to inadequate planning, detailed engineering, supervision, and monitoring, which resulted in delayed completion and non-implementation of various projects contrary to pertinent provisions of the Revised Implementing Rules and Regulations of RA No. 9184 and the agreed terms and conditions of the contract. **(Observation No. 11)**

We recommended and Management of DPWH CO, RO and 9 DEOs in CAR, RO and 3 DEOs in Region II, RO and 12 DEOs in Region III, RO and 6 DEOs in Region IV-B, RO and 9 DEOs in Region V, 5 DEOs in Region VIII, RO and 6 in Region IX, 4 DEOs in Region XI, RO and 3 DEOs in Region XIII agreed to: a) ensure full coordination with other government agencies, among others, the local government units and Department of Environment and Natural Resources, including the community and private utilities, to achieve effective and more synchronized planning and implementation of programs and projects; b) enforce liquidated damages for contractors responsible for delays, consider the disqualification and/or blacklisting of contractors involved, and initiate the immediate take-over process of terminated projects and projects with negative slippages of 15 percent and above to facilitate completion of the projects within the project timeframe; and c) minimize/avoid further delays in project implementation by: i) conscientiously carrying out the detailed engineering to ensure that issues such as the relocation of informal settlers and the viability of the project sites are properly addressed during the feasibility or preliminary engineering study prior to project implementation; ii) thoroughly reviewing and evaluating the Program of Works to ensure that project designs and estimates are properly prepared and that all phases of the projects are covered to minimize variation orders and time extensions, which often result in an increase in project cost and delayed completion; iii) directing the Bids and Awards Committee to properly verify and evaluate during post-qualification the operating conditions of equipment and other construction requirements, among others, to ensure the adequacy, availability and suitability of the contractor's technical capability; and iv) strict monitoring and supervision of the status and progress of projects implemented by different DPWH Offices.

5. Delays were encountered in the implementation of nine Foreign-Assisted Projects with a total cost of P103,780,055,173.34, as evidenced by negative slippages ranging from 0.76 percent to 55.96 percent, cost increases, and extended implementation periods. This led to the restructuring of five projects in CY 2024, with potential restructuring for others in CY 2025, affecting the timely delivery of benefits to the intended beneficiaries. Furthermore, the delays in project implementation also impacted the timely utilization of loan proceeds, contributing to the incurrence of commitment fees totaling P296,368,628.51 for CY 2024. Addressing these issues through improved planning, monitoring, and financial management, as outlined in the recommendations, could help mitigate these challenges in the future. **(Observation No. 12)**

We recommended and Management agreed to direct the Unified Project Management Office to: a) conduct thorough due diligence during the feasibility and engineering stages to identify and proactively address potential risks, including Right-of-Way issues, site viability, and permitting requirements, to prevent project delays; b) implement a real-time monitoring dashboard to track the progress of Foreign-Assisted Projects and ensure compliance with DPWH Department Order No. 193, s. 2016, focusing on projects with significant slippage; c) strengthen intra and inter-agency coordination by formalizing engagements with relevant agencies, local government units, and stakeholders to expedite approvals and permit processes and avoid overlapping of project scope of works; d) streamline disbursement processes, align them with loan disbursement schedules, and coordinate with foreign lending institutions to reduce delays and avoid incurring unnecessary commitment fees; and e) provide continuous capacity-building programs for project teams and implement accountability measures to ensure effective project delivery and prompt resolution of issues.

6. Liquidated damages were not imposed, collected, or deducted from the payments made to the contractors and suppliers who incurred delays ranging from 1 to 1,075 days corresponding to days elapsed between the target schedule and actual dates of completion of projects and delivery of goods, with a total contract cost of P5,109,276,235.99. Moreover, liquidated damages collected totaling P474,743.76 in 13 projects of two DPWH Offices were found to be lower by P1,817,754.45 than the COA validated or evaluated amount of P2,292,498.21. These deficiencies are not in compliance with item 3.1, Annex “D”, and Item 9.1, Annex “E” of the Revised Implementing Rules and Regulations of Republic Act No. 9184, thereby depriving the government of proper indemnification for the damages it has sustained due to defaulting contractors and suppliers. **(Observation No. 13)**

We reiterated our previous year’s recommendations and Management of 3 DPWH DEOs in CAR, RO and 6 DEOs in Region II, 2 DEOs in Region III, 3 DEOs in IV-B, 3 DEOs in Region V, 3 DEOs in Region XIII, and 1 DEO in Region IX, and agreed to impose the corresponding liquidated damages (LDs), and deduct the same from the progress billings/claims, retention money, or other securities posted by the contractors and suppliers who incurred delays in the completion of infrastructure projects and delivery of goods.

We also recommended and Management of DPWH RO and Isabela 2nd DEO in Region II agreed to impose the LDs amounting to P956,762.67 and deduct the same against the claims of the supplier.

Further, we recommended and Management of DPWH Cagayan 3rd DEO in Region II, Marinduque DEO in Region IV-B, and Zamboanga del Sur 1st DEO in Region IX agreed to re-evaluate/re-assess the computation made on the LDs incurred by the contractors and suppliers concerned, and immediately collect and/or deduct the deficient amounts from their claims, if any.

7. A total of 747 infrastructure projects undertaken by the DPWH were not executed in accordance with the provisions stipulated in the respective Contract Agreement due to lack of proper supervision and monitoring, thereby resulting in various technical defects in the implementation of the contracts with an equivalent aggregate amount of at least P6,459,027,368.59. Moreover, several deficiencies were noted in the implementation of various infrastructure projects which resulted in the projects being unusable or idle thus depriving the public of the benefits that can be derived therefrom. **(Observation No. 14)**

We reiterated our previous year's recommendations and Management of the Regional Office (RO) and 5 District Engineering Office (DEOs) in CAR, 1 DEO in Region I, RO and 11 DEOs in Region II, 1 DEOs in Region III, RO and 7 DEOs in Region IV-B, 7 DEOs in Region V, RO and 2 DEOs in Region VIII, two DEOs in Region IX, nine DEOs in Region VII, five DEOs in Region X and RO and 2 DEOs in Region XIII agreed to: a) require the contractors concerned to immediately repair, rectify or correct the noted defects and deficiencies, and deliver the required items of works necessary in the implementation of infrastructure projects to conform with the terms and specifications provided for in the contracts; otherwise, forfeit the performance securities of the defaulting contractors, and consider them for blacklisting, if warranted; b) submit justifications and requirements necessary to establish and support the propriety of the noted unnecessary pay-items, which were included in the approved program of works; and c) direct the implementing offices concerned, in coordination with the Inspectorate Teams, to conduct regular and periodic monitoring and supervision to ensure that all projects are implemented/executed in accordance with the approved program of works of the contracts.

We also recommended and Management of RO and one DEO in Region I, and RO in Region IV-B agreed to properly address all other deficiencies noted in the implementation of projects to ensure the timely completion of the projects and prevent them from being unusable or idle to the disadvantage of the government and depriving the public of the benefits that can be derived therefrom.

8. The DPWH was not fully compliant with the pertinent provisions of Republic Act No. 9184 and its Revised Implementing Rules and Regulation which prevented transparency, competitiveness, equity, efficiency and economy in the procurement process as well as during the implementation of various infrastructure projects. **(Observation No. 15)**

We reiterated our previous year's recommendations and Management of DPWH RO and 2 DEOs in NCR, RO and 11 DEOs in CAR, RO and 4 DEOs in Region II, 2 DEOs in Region III, RO and 4 DEOs in Region No. IV-B, 7 DEOs in Region V, 1 DEO in Region VI, 1 DEO in Region VII, RO and 3 DEOs in Region VIII, 1 DEO in Region IX, 4 DEOs in Region X, 1 DEO in Region XII, and 2 DEOs in Region XIII agreed, through the Bids Awards Committee, Procurement Units, and the Offices concerned, to strictly comply with the provisions of Republic Act No. 9184 and its Revised Implementing Rules and Regulation in all stages and activities

of the procurement being conducted, and ensure that mandatory timelines/schedules are monitored and complied with for the timely completion of the entire procurement process, including careful bid evaluation and post-qualification of bidders to preclude any issues that may arise upon implementation of the projects.

9. Various infrastructure projects with aggregate cost of P1,956,039,106.07 were declared as 100 percent complete on the Report on Publicized Government Programs, Projects and Activities, and project status monitoring reports of DPWH implementing offices despite the deficiencies or defects noted upon actual inspection and validation thereof, which undermines transparency in government reporting and precludes the imposition of liquidated damages, contrary to the DPWH Quality Policy dated May 12, 2016, COA Circular No. 2013-004, and Republic Act No. 9184 and its Revised Implementing Rules and Regulations. **(Observation No. 18)**

We recommended and Management of 3 DPWH DEOs in CAR, 2 DEOs in Region III; 2 DEOs in Region IV-B; 2 DEOs in Region VI and 2 DEOs in Region X agreed to: a) direct the District Quality Assurance Units, Inspectorate Teams, and Engineers concerned to refrain from certifying projects as 100 percent complete or free of defects, and from reporting inaccurate accomplishments in the Statement of Work Accomplished (SWA) and Monthly Certificate of Payment, when deficiencies or unimplemented items are still present; b) refrain from releasing retention money prior to final project acceptance for projects not completed on schedule or not satisfactorily implemented, in accordance with Item 6.2, Annex “E” of Republic Act No. 9184 and its Revised Implementing Rules and Regulation; c) require contractors to immediately rectify or complete noted deficiencies and deliver all contractual requirements; otherwise, forfeit their performance securities and consider them for blacklisting, if warranted; d) impose liquidated damages, where applicable, on delayed or deficient projects, particularly for Zambales 1st and 2nd DEOs (Region III) and Region VI, based on evaluations by the Construction Section; e) instruct the District Engineers, Chiefs of Construction Sections, and Project Engineers concerned of Mindoro Oriental and Southern Mindoro DEOs (Region IV-B) to closely monitor project implementation and ensure the timely and accurate reporting of accomplishments in the Government Projects, Programs, and Activities (GPPA); f) ensure that all infrastructure projects, including those managed by Maintenance Divisions, funded by other agencies, or planned for implementation, are completely and accurately reported in the GPPA and Project and Contract Management Application (PCMA), per COA Circular No. 2013-004; g) require responsible officials to regularly review, update, and correct the GPPA and PCMA Reports to enhance their accuracy, reliability, and usefulness for project monitoring and reporting; h) require Region V Department Heads to submit at the start of the year, and regularly update, the approved list of all ongoing and planned Projects, Programs and Activities in compliance with Sections 2 and 3 of COA Circular No. 2013-004; i) ensure compliance with project signboard posting requirements using the standard design; and j) submit duly signed Monthly

Monitoring Reports and/or SWAs based on the prescribed percentage intervals of accomplishment verification.

10. Claims on the acquisition of Right-of-Way in the total amount of P107,595,091.03 for the implementation of infrastructure projects of DPWH RO XI, Davao del Norte DEO and Bukidnon 2nd DEO remained unsettled/unpaid contrary to Section 17.6 of the Revised Implementing Rules and Regulations of Republic Act (RA) No. 9184 and Section 6 of RA No. 10752; thus, benefits accruing to the claimants were delayed and causing difficulties in the execution of the projects. (**Observation No. 19**)

We recommended and Management of DPWH RO XI, Davao del Norte DEO and Bukidnon 2nd DEO agreed to: a) facilitate the release of funding, and expedite the evaluation and approval of documents for the timely processing and settlement of claims; and b) henceforth, strictly comply with the proper conduct of detailed engineering investigations, surveys and designs to avoid Right-of-Way issues that may arise during the implementation of the projects in accordance with the Revised Implementing Rules and Regulations of Republic Act (RA) No. 9184 and RA No. 10752.

11. Disbursements in the total amount of P583,561,329.60 which were considered not compliant with pertinent provisions of existing laws, rules and regulations and/or deviated from proper standards and procedural guidelines, rendered the validity, regularity and propriety of transactions doubtful contrary to Section 2 of Presidential Decree (PD) No. 1445. Further, expenditures aggregating P18,477,634,017.07 were made without proper and complete supporting documentary requirements contrary to Section 4(6) of PD No. 1445 and COA Circular No. 2012-001; thus, the validity and propriety of the transactions were not fully ascertained and evaluated. (**Observation No. 20**)

We recommended and Management of DPWH RO and 6 DEOs in CAR, RO and 6 DEOs in Region II, RO and 3 DEOs in Region IV-B, RO in Region V, 1 DEO in Region VI, 1 DEO in Region VII, 2 DEOs in Region VIII, 2 DEOs in Region IX, 1 DEO in Region X and RO and 2 DEOs in Region XIII agreed to evaluate and investigate the deficiencies of the foregoing transactions in order to facilitate the immediate submission of the required documents, justification and requirements necessary to establish and support the validity, propriety and regularity of the disbursements to preclude eventual suspension or disallowance of the same pursuant to COA Circular No. 2012-03, and henceforth, strictly adhere to the provisions of existing laws, rules and regulations governing its operations and transactions.

We recommended and Management of 5 DPWH DEOs in CAR, RO and 7 DEOs in Region I, 2 DEOs in Region II, 1 DEO in Region III, 1 DEO in Region IV-A, RO and 5 DEOs in Region IV-B, 2 DEOs in Region V, 1 DEO in Region VII, 1 DEO in Region IX and 3 DEOs in Region X agreed to: a) facilitate the preparation of documentary requirements for the immediate submission thereof to enable the

Audit Team to conduct proper review and evaluation on the propriety and regularity of the transactions; b) constantly perform appropriate quality control review procedures to ensure that disbursements of government funds are supported with proper and adequate documents; and c) henceforth, strictly observe compliance on submission of supporting documents as prescribed under Presidential Decree No. 1445, COA Circular No. 2012-001, and other related guidelines.

12. The DPWH offices has outstanding balances for audit suspensions, disallowances, and charges totaling P14,955,576,891.00, P2,397,081,425.94, and P3,218,925.91, respectively, as at December 31, 2024, contrary to pertinent provisions of COA Rules and Regulations on Settlement of Accounts prescribed under COA Circular No. 2009-006. (**Observation No. 34**)

We recommended and Management agreed to: a) exert effort and communicate with persons responsible to immediately submit the documents required for the immediate settlement of the suspensions to prevent the same from maturing into disallowances/charges; b) enforce the settlement of the audit disallowances or charges against the persons liable, particularly those already final and executory; and c) henceforth, strictly comply with applicable and relevant laws, rules and regulations in government transactions to avoid the issuance of suspensions, disallowances, and charges in audit.

The foregoing findings and recommendations were discussed with Management officials concerned in an exit conference conducted on June 18, 2025, and their comments were incorporated in this Report, where appropriate.

G. Summary of Total Suspensions, Disallowances and Charges

DPWH's unsettled audit suspensions, disallowances and charges as at December 31, 2024 accumulated to P14,955,576,891.00, P2,397,081,425.94, and P3,218,925.91, respectively. Details are shown in Observation No. 34, Part II of this Report.

H. Status of Implementation of Prior Year's Audit Recommendations

Of the 139 outstanding prior year's audit recommendations, 72 or 51.80 percent were implemented. The other 67 or 48.20 percent of the recommendations were not implemented and were reiterated/restated in Part II of this Report. The details on the results of validation of the 72 implemented and 67 not implemented recommendations are presented in Part III of this Report.